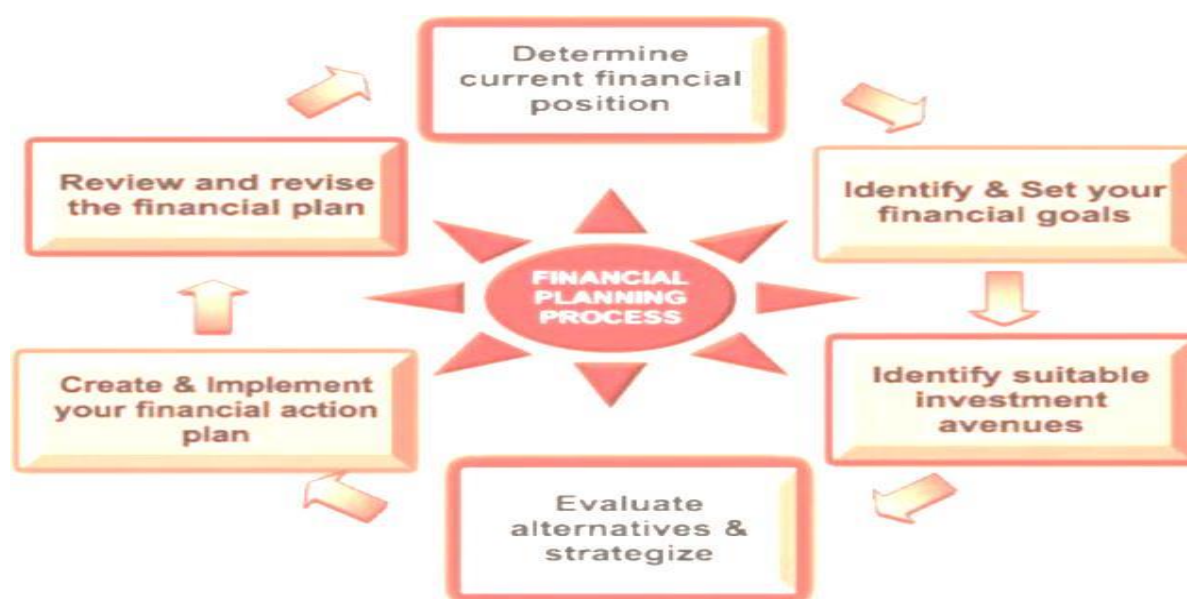


Chapter 3 - Financial Planning

A. Financial Planning

Financial planning is the process of estimating financial needs of a person and implementing a comprehensive plan to meet those financial needs during his or her lifetime through investment. For instance, birth of a child, education, purchasing house, marriage, meeting emergency situations like an illness, to meet the impact of an accident, death, or natural calamities like flood, etc.

B. Financial Planning Process



Determine Your Current Financial Situation

If you want to plan for the future, you need to understand your current financial position. You need to understand what your incomes, expenses, assets and liabilities/debts are? Your net worth is simply assets you own minus liabilities you owe.

The net worth is calculated as under: -

Assets		Liabilities	
Particulars	Amount in Rupees	Particulars	Amount in Rupees
Car	25,000	House Loan	20,00,000
Bank Balance	5,00,000	Car Loan	10,000
House	50,00,000		
Total Assets	55,25,000	Total Liabilities	20,10,000
Net Worth (Assets- Liabilities)	35,15,000/- (55,25,000-20,10,000)		